

CHAPTER (6)

Decision making

Decision Making

- ▣ The process followed for identifying and choosing a course of action in order to solve a specific problem is known as decision making.
- ▣ Decision making is both, a managerial function as well as an organizational process.
- ▣ It is organizational in the sense that many decisions transcend the individual manager and become the products of groups, teams, committees, etc.
- ▣ It is managerial in the sense that decision making is the basic responsibility of a Manager, whether it is giving shape to a company's planning or choosing alternatives, etc.
- ▣ Managers have to take decisions and hence need to develop skills for decision making and problem solving.

Decision Making

- ▣ No Managerial function or responsibility whether it is planning, organizing or controlling can be complete without decision making.
- ▣ In each function, decision making holds a central place.
- ▣ It, in fact, is an inherent or in-built function in all the managerial responsibilities. For example, in planning one has to take decisions for setting objectives, scheduling the project, budgeting etc.
- ▣ Similarly, in organizing, decisions have to be taken regarding delegating project implementation, establishment of communication channels etc.
- ▣ The position in controlling is also the same where decision making is required for performance, evaluation, etc.

Decision Making

- ▣ Decision making involves three aspects of human behavior :
 - 1) Cognition - i.e. activities of the mind associated with knowledge.
 - 2) Conation - i.e. the action of mind implied by such words as willingness, desire and / aversion.
 - 3) Affectation - i.e. the aspect of mind associated with emotion, feeling, mood and temperament. .

STEPS IN DECISION MAKING

- ▣ Managers follow certain steps which help them to understand the decision making process and provide a process to be adopted for rational decision making.
- ▣ Generally, the following steps are adopted for decision making.
- ▣ Before we outline the steps, we must make it clear that the decision making process is required for achieving certain specific objectives

STEPS IN DECISION MAKING

1) Identifying/Defining the Problem

- ▣ This marks the beginning of the decision making process.
- ▣ A Manager should be clear in defining the problem in relation to the organizational objectives.
- ▣ Unless as a Manager, you define what the problem is, you may move in the wrong direction asking wrong questions and making wrong decisions.

STEPS IN DECISION MAKING

2) Analyzing the Situation

- ▣ Once the problem has been defined, as a Manager one must analyze the situation. For example, what are the several elements the problem consists of and what must be solved or what should not be solved.
- ▣ At the same time, the manager should attempt to understand the sources/causes of the problem.
- ▣ Sometimes, the problems and the causes may be simple, whereas sometimes they may be complex.
- ▣ Hence, you must be extremely cautious in dealing with the problem and coming to decisions for solving them.

STEPS IN DECISION MAKING

3) Gathering Information

- ▣ The problem once identified and stated has to be solved.
- ▣ But for solving it, a Manager must gather information about different courses of action.
- ▣ For this, time as well as resources is crucial.
- ▣ At times, gathering information is a costly affair.

STEPS IN DECISION MAKING

4) Search for Alternatives

- ▣ The decision maker must try to look for various alternatives available, in order to get satisfactory results from a decision.
- ▣ To find out the various alternatives, the Manager should go for individual or group brainstorming sessions.
- ▣ For example, you are a Manager in a Tour Operating company. The person who used to look after the marketing aspect has left. Now, to face this problem, you can have the following alternatives :
 1. Leave the vacancy unfilled
 2. Appoint a permanent person
 3. Promote the next person in hierarchy
 4. hire the services of a temporary person.
- ▣ For a good Manager, it is a must that instead of one alternative, he should think of various alternatives.

STEPS IN DECISION MAKING

5) Evaluation of Alternatives

- ▣ Once a set of alternatives is available, a Manager must evaluate the alternatives keeping in view the advantages and disadvantages of each alternative.
- ▣ One should also ask questions about the feasibility of the alternatives and the consequences of the alternatives.
- ▣ This takes us to the choice of alternatives.
- ▣ While choosing an alternative, besides comparative analyses of various alternatives, one may also take into account earlier experiences, experimentation, research and analyses.

STEPS IN DECISION MAKING

6) Action

- ▣ Once the best alternative has been chosen, generally it is felt that the process of decision making has ended.
- ▣ However, decision making is a continuous and on-going process and at this stage it is the responsibility of the Manager to convert the decision into something operationally effective,

Types of decision

Managerial decision making is categorized as :

- ▣ Programmed decisions

They are as per the written or stated procedures, rules or policies and are generally used for dealing with both complex as well as simple issues

- ▣ Non-programmed decisions

They are exceptional or unusual problems are dealt with through non- programmed decisions. But one' must remember here that a certain amount of risk is involved in all decisions.